

Multiple Choice

1. **Answer:** B

Options: A) cannot earn economic profits; B) are interdependent; C) are not subject to antitrust legislation; D) are large in number

Note: Correct option: B - are interdependent

2. **Answer:** A

Options: A) equilibrium quantity rises, but the price change is ambiguous.; B) equilibrium quantity falls, but the price change is ambiguous.; C) equilibrium quantity rises, and the price rises.; D) equilibrium quantity falls, and the price falls.

Note: Correct option: A - equilibrium quantity rises, but the price change is ambiguous.

3. **Answer:** B

Options: A) stagflation.; B) an advance in technology.; C) an increase in government spending.; D) a decrease in government spending.

Note: Correct option: B - an advance in technology.

4. **Answer:** B

Options: A) Decreases aggregate demand so that the price level falls.; B) Increases aggregate demand which increases real GDP and increases employment.; C) Increases unemployment but low prices negate this effect.; D) It keeps interest rates high which attracts foreign investment.

Note: Correct option: B - Increases aggregate demand which increases real GDP and increases employment.

5. **Answer:** A

Options: A) a leftward shift in the aggregate supply curve.; B) a leftward shift in the aggregate demand curve.; C) a leftward shift in both the aggregate supply and aggregate demand curves.; D) a rightward shift in the aggregate supply curve.

Note: Correct option: A - a leftward shift in the aggregate supply curve.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Structural'.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'National program of child immunization'.

8. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'A and C'.

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The firm may earn positive, negative, or normal profits.'

Long Form Response

11. **Answer:** people with fixed money incomes. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** $P = MC$.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key